An Investment Proposal of *Nayuki* in CUHK-SZ

Nayuki Holdings Limited

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(Incorporated in the Cayman Islands with limited liability)

(Stock Code: 2150)

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1. Abstract

The study is focusing on opening a new *Nayuki* store in the Chinese University of Hong Kong, Shenzhen (CUHKSZ).We suppose 5 years as our project's period. According to our research and estimation, the project turns out to have a positive net present value (NPV) of 469,785.4004 RMB and a payback period of less than 3 years. This paper will demonstrate our project framework and offer detailed information.

2. Campus Information

2.1 Population Estimation

The population of the Chinese University of Hong Kong,Shenzhen(CUHKSZ) is continuously growing. According to our research and estimation, currently, there are 10,000 students studying in CUHKSZ, including undergraduates and postgraduates. Also, there are about 2,500 staff on the campus. Taking visitors at weekends into consideration, the total population is 13,000 everyday.

2.2 Customer Analysis

To get the data of demands for drinks on campus, we conducted a questionnaire survey among 216 students from different genders, ages, colleges, and majors. According to our survey, there are 54.17% people thinking that consumption experience is good, and 34.72% people thinking that consumption experience is average. Furthermore, those who are willing to consume have a higher satisfaction with *Nayuki* Tea. Among the respondents who are willing to consume *Nayuki* Tea, 55.08% rated their satisfaction as having a good consumption experience. In contrast, only 6.90% of those who are unwilling to consume gave the same rating. This

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indicates that the group willing to consume generally holds a positive attitude towards *Nayuki* Tea.

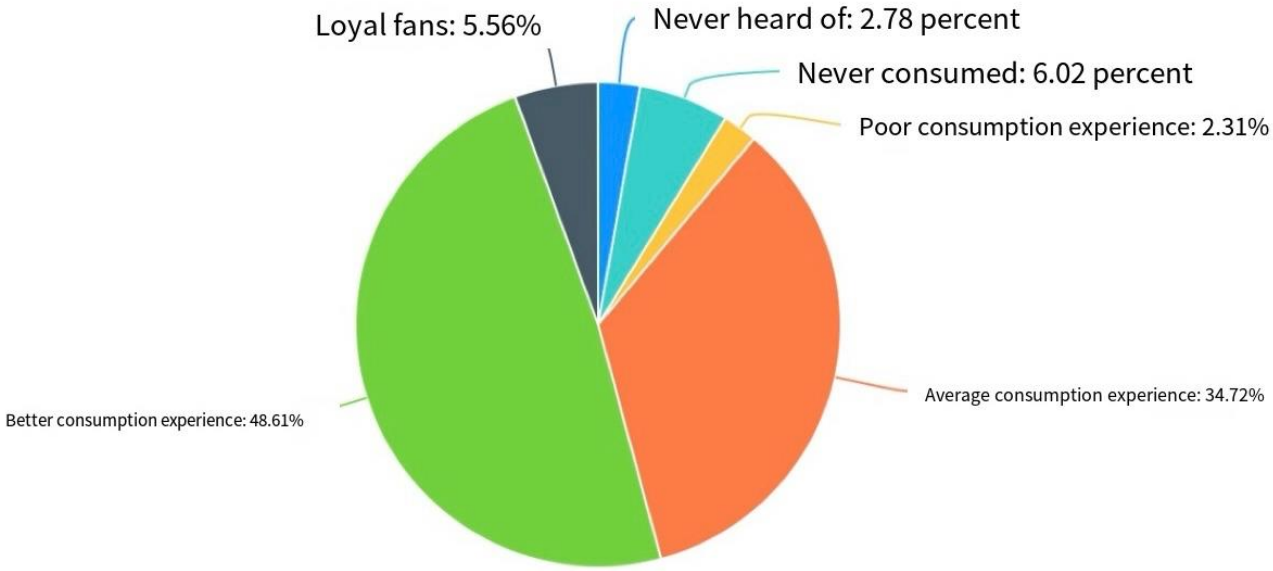

Figure1: Students' attitudes to *Nayuki*

The vast majority of students are willing to consume *Nayuki* Tea. In the survey, 86.57% of students indicated that they are willing to consume *Nayuki* Tea on campus, displaying the brand's strong appeal within the campus environment.

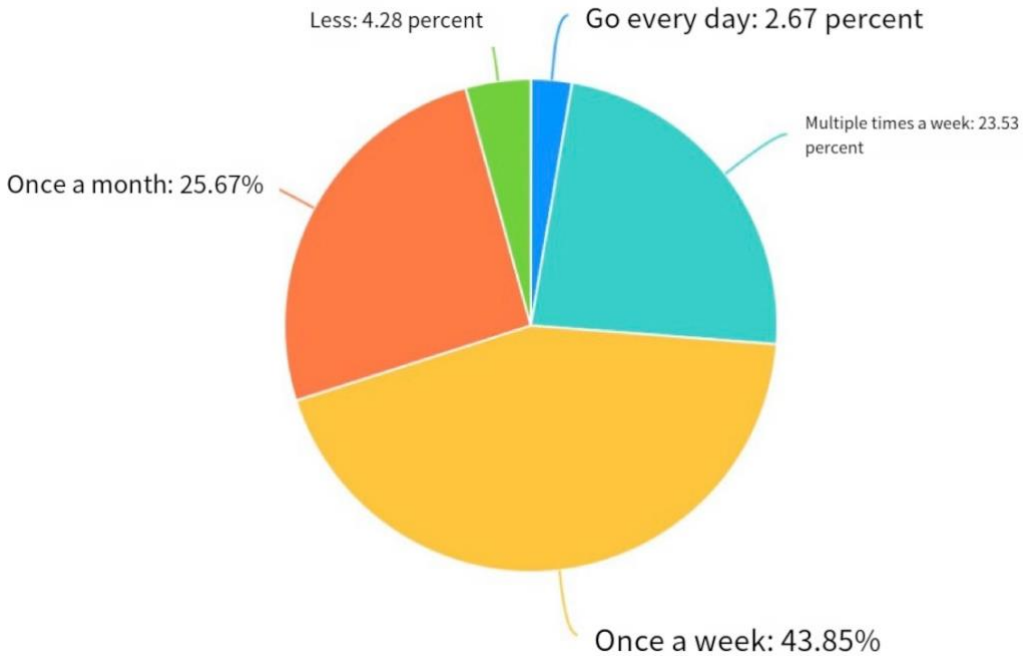

Figure 2: Students' consumption frequency of *Nayuki*

3. Company Analysis

3.1 Company Background

Nayuki Tea, the pioneer of the new tea beverage track, was founded in 2015 and creatively launched the dual-category model of "tea beverages + soft European-style breads." Focusing on a modern lifestyle centered around tea, *Nayuki* has developed three major business segments: "handmade tea beverages," "*Nayuki* Premium Tea," and "Ready-to-Drink (RTD) bottled tea." It has successfully created several industry hits, such as the "Dominant Jade Wax Apple" and the "Treasure Tea with Duck Dung Fragrance."

On June 30, 2021, *Nayuki* Tea was officially listed on the Hong Kong Stock Exchange. Currently, *Nayuki* Tea has covered nearly 100 major cities across the country, with more than 1,200 stores.Adhering to the philosophy that "beauty has its own power," *Nayuki* Tea is committed to becoming a "globally beloved tea beverage brand." It aims to be an innovator and promoter of tea culture to the world.

3.2 SWOT Analysis

Strengths: Strong brand influence Production innovation Intelligent supply chain Global expansion Strong financing capacity	**Weakness:** High costs (innovation and management) Risks in global expansion Challenging to profitability
Opportunities: Potential global markets policy support Financing support	**Threat:** Intense competition Challenging Brand repositioning A downturn global economy Changes in consumption patterns (the downward willingness to pay for drinks)

Table 1: The SWOT Analysis of *Nayuki*

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4. Competitor Analysis

4.1 Direct Competitors on Campus

Taking the Starbucks(which also sells drinks and bread) on campus into account, we carried on a questionnaire survey on whether the entry of *Nayuki* Tea into campuses would affect the frequency of visits to Starbucks. The results showed that the majority of students believed that *Nayuki* Tea would not affect their frequency of visiting Starbucks. Among the respondents, 53.24% believed that there was no impact, and 22.22% thought there was a slight impact. Therefore, Starbucks, the direct competitor on campus, will not pose a big threat to *Nayuki*.

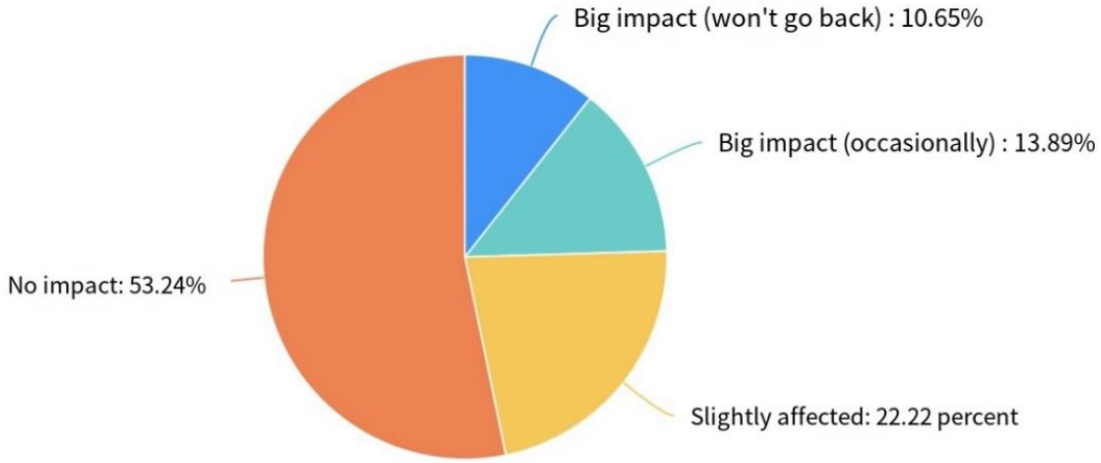

Figure 3: Effects of Nayuki to the frequency of visits to Starbucks

4.2 Other Drinking Stores Around the Campus

There are some beverage shops near the school, such as A-little Tea, Hey Tea, and Chagee. However, in our survey, among the loyal fan group of *Nayuki* Tea, 60% of the respondents said they would consume *Nayuki* Tea every day. In other groups with higher satisfaction, the consumption frequency also showed a significantly higher trend, indicating a high level of brand recognition among loyal fans.

Therefore, we can conclude that these off-campus beverage shops will not have a significant negative impact on *Nayuki* Tea.

At the same time, there are hardly any bakeries or dessert shops near the school. However, *Nayuki* Tea sells bread. This creates a favorable market environment for *Nayuki* Tea to enter the campus.

5. Project Design

5.1 Opening Schedule

The store will open during the two semesters and the summer vacation every year, totally 38 weeks. During the semesters, students and faculty are almost always on campus. In the summer, there are also a large number of students on campus attending summer sessions. Therefore, we believe that these periods will witness good sales. Meanwhile, since everyone goes home for the Spring Festival during the winter vacation, we choose to close the store temporarily.

At the same time, we plan to open the store in the lower campus, at the first floor of RB(near Starbucks). The opening hours will be from 10 a.m. to 10 p.m. Five staff (each Nayuki store should have at least 5 staff) will be employed to handle the preparation and sale of beverages and bread. Besides, we will adopt a hybrid sales model, both online and offline. Students can place orders via the mobile app and pick up their meals at the store, or they can order directly at the store, which will have a few seats.

Location	Lower campus, first floor of RB
Opening hours	10a.m.~10p.m.
Staff	5 staff

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Selling mode	Online& offline

Table 2: Opening schedule

5.2 Products List

We offer 24 kinds of drinks(with different sizes of bottles), 27 kinds of bread, 13 kinds of snacks and 14 kinds of related products. However, as for bread and snacks, we only make the majority of them everyday and change the types made every few days.

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Name	Price	Name	Price	Name	Price	Name	Price
奈雪瘦瘦小绿瓶	19(M)	春日抹茶魔法棒	16	霸气变色杯	9	芝士酥条	12
	23(L)	奈雪草莓魔法棒	16	联名周边礼包	118	蛋仔饼	12
奈雪畅畅小绿瓶	19	0蔗糖草莓女王卷	15.8	联名周边大礼包	287	茉莉初雪（袋泡茶）	19.9
不加糖血橙西柚维C杯	19(M)	巧克力甜甜圈	9.8	联名茶具套装	109	金桂知秋（袋泡茶）	19.9
	22(L)	奥利奥布蕾小贝	8.8	联名毛毯	69	栀子绿茶（袋泡茶）	19.9
霸气不加糖葡萄	19(M)	红茶千层	15.8	联名杯子	58	鸭屎香单丛茶礼盒	48
	23(L)	榴莲千层	28	夜光不锈钢杯	68	冻干草莓酸奶块	16.8
霸气芝士草莓	22(M)	水果海盐芝士泡芙	18	联名陶瓷盘	48	冻干葡萄酸奶块	16.8
	26(L)	草莓玉米蛋糕杯	17.8	联名保温杯	68	原味薯条	9
霸气橙子	19(M)	萌宝奥巧蛋糕杯	16.8	联名果茶礼盒	48	蜂蜜黄油味薯条	9
	22(L)	奈雪榴莲王	15.8	猫爪爪玻璃杯	39	栀子绿小盒茶	5
霸气杨枝甘露	19(M)	火腿芝士贝果	10.8	保温杯&抽绳套组	88	大红袍小盒茶	5
	23(L)	肠仔包	12.8	联名保温杯限定款	68	金色山脉小盒茶	5
霸气柠檬油柑	19(M)	奇亚籽坚果健康包	9.8	春日豆豆毛绒公仔	30		
	22(L)	红豆布里欧餐包	9.8				
霸气芒果	18(M)	奈雪咸蛋黄嘟嘟	13.8			大保温袋	4
	22(L)	奈雪南瓜嘟嘟	13.8			小保温袋	2
霸气酸奶芒果	22(M)	256层焦糖蛋挞	10				
	26(L)	肉桂酥酥蛋挞	12				
雪山玫瑰宝藏茶	19(M)	奈雪菠菜肉骨头	12.8				
	22(L)	松松芋泥麻薯包	16				
茉莉初雪奶茶	16(M)	海苔松松卷	9.8				
	19(L)	紫薯芋泥双料包	9.8				
金色山脉珍珠奶茶	16(M)	蛋黄芋泥双料包	10.8				
	20(L)	厚切岩烧乳酪吐司	10.8				
手熬黑糖珍珠鲜牛奶	19	碱水生吐司	10.8				
森林观音	9(M)	奶黄布里欧餐包（2个）	9.8				
	11(L)						
奈雪茉莉初雪	11(M)						
	13						
美式咖啡	15						
茉莉初雪茶咖	19						
拿铁咖啡	19						
生椰拿铁	22						
浓抹干酪香水椰	21						
春日绿野牛油果酸奶昔	28						
春日豆豆牛油果酸奶昔	23						
浓抹碎碎黑珍珠	19	注：每个时间段会推出不同的限定产品（季节限定）春日产品可以用作参考					

Table 3: Product and price table

6. Cash Flow Calculation[1]

	Year	0(2025)	1(2026)	2	3	4	5
Increamental Earnings Forecast							
	Sales		1871100	1871100	1871100	1871100	1871100
-	Cost of goods sold		877545.9	877545.9	877545.9	877545.9	877545.9
=	**Gross profit**		993554.1	993554.1	993554.1	993554.1	993554.1
-	Selling, general, and administrative	48000	301916.61	301916.61	301916.61	301916.61	301916.61
-	Depreciation		157172.4	157172.4	157172.4	157172.4	157172.4
=	**EBIT**	-48000	534465.09	534465.09	534465.09	534465.09	534465.09
-	Income Tax at 25%		133616.2725	133616.2725	133616.2725	133616.2725	133616.2725
=	**Unlevered Net Income**		100212.2044	100212.2044	100212.2044	100212.2044	100212.2044
Free Cash Flow($thousands)							
+	Depreciation		157172.4	157172.4	157172.4	157172.4	157172.4
-	Capital Expenditures	580000					
=	**Free Cash Flow**	-628000	257384.6044	257384.6044	257384.6044	257384.6044	257384.6044
	PV(beta=0.49,rate=5.54384%)	-628000	243865.1127	231055.7516	218919.2203	207420.1775	196525.1383
	NPV	-628000	-384134.8873	-153079.1357	65840.0846	273260.2621	469785.4004

Based on the financial statements of *Nayuki* Tea nationwide and an analysis of the campus market, our store sells approximately 330 cups of beverages and a small number of bread and snacks daily, with a daily turnover of about ¥6,930, and a total sales of ¥1,871,100 per year. In addition, the annual water bill is ¥622.35 (with a daily consumption of 0.5 tons and operations for 9 months), the electricity bill is ¥1,889. 46 (using 10 kWh per day and operating for 9 months), the rent is ¥48,000 (paid annually and totally 6 years), and the management fee is ¥3,840 (paid annually). Besides, each employee's salary is ¥5,000, working 9 months per year and the total expenditure for this item is ¥225,000. Our depreciation expense is approximately ¥157,172.4 per year and we suppose income tax rate is 25%. Therefore, we will have a positive NPV of ¥469,785.4004 in the next five years.

7. Risk Analysis

7.1 Market Risk: Raw Material Risk

The production of beverages requires fruits and dairy products as raw materials,

[1] https://www.naixue.com Nayuki Tea official webpage.

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which have short shelf lives, high unit prices, and are highly dependent on seasons and regions. Therefore, there are significant risks associated with the transportation, supply quantity, storage duration, and price fluctuations of raw materials. The use of sweeteners must comply with food safety standards and have high quality requirements, making them prone to the risk of non-compliance and spoilage. When prices rise, profits will decrease; if quality issues arise, the brand's reputation on campus will deteriorate and marketing efforts will be hindered. In 2024, the raw material cost for *Nayuki* Tea was 1.809 billion yuan, accounting for 36.8% of the total revenue, up from 32.9% in 2023.

7.2 Industry Risk

Firstly, the competition from other beverage stores on campus has a significant impact on this store. Traditional beverage stores such as Starbucks, Shuyi, and Huiyin Coffee have already occupied a large share of the campus market. In its early establishment, *Nayuki* Tea faced considerable competitive risks. The questionnaire indicated that over half of the respondents stated that the opening of *Nayuki* Tea had no impact on their visits to Starbucks on campus.

Secondly, there is a competitive risk from other franchise drink brands within the industry for *Nayuki* Tea. For instance, brands like Meixue Ice City and Bawangchaji are both cultivating customer loyalty and seizing the entire market share. These industrial risks will not directly affect our project, but they will impact the overall development of the *Nayuki* Tea company.

7.3 Operating Risk

7.3.1 Store Management Risk

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Stores face contradictions and conflicts such as difficulties in recruiting human resources and the assessment of employee training and onboarding. At the same time, labor costs have been increasing year by year. In 2024, labor costs accounted for 29.2% of the total costs, up by 1.0 percentage point year-on-year, which affects profits.

7.3.2 Supply Chain Management Risk

The supply chain, which includes the transportation of raw materials in the upstream, processing and handling in the midstream, and product transportation in the downstream, has high requirements and is prone to risks such as raw material shortages and transportation disruptions. This affects product production and sales, thereby impacting revenue.

7.3.3 Product Innovation Risk

The company needs to continuously invest resources in product innovation. If the innovation effect is poor and the new product lines launched do not meet expectations, it will affect the company's competitiveness and revenue.

8. Results and Discussion

Based on our investigation, calculation, and estimation, the response to opening a *Nayuki* Tea in the campus is very positive. This *Nayuki* Tea is expected to have a positive net present value (NPV) and a payback period of less than 3 years. It is also projected to generate continuously growing profits after the third year. These data all demonstrate the feasibility and promising market prospects of opening a *Nayuki* Tea on campus.

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